

01 Growth vs development

GROWTH: sustained rise in real GDP, real GVA or real income.
PER CAPITA: adjusts for population, not distribution.
DEVELOPMENT: structural transformation + capabilities + equity + agency.
SUSTAINABILITY: current gains must not destroy future welfare.
ANSWER LINE: growth expands means; development evaluates human ends.

MEANS -> CONVERSION -> HUMAN ENDS

02 Growth engine and quality

INPUTS: labour + physical capital + human capital + technology + institutions.
MECHANISM: capital deepening and productivity raise real output.
TRANSMISSION: jobs/wages + profits/investment + public revenue.
GOOD TRANSFORMATION: workers enter higher-productivity decent work.
FAILURES: jobless growth, enclaves, wage lag, regional gaps, pollution.

PRODUCTIVITY -> JOBS -> CAPABILITIES

03 HDI purpose and timeline

1990: first UNDP Human Development Report introduced HDI.
PURPOSE: compare average capability achievement, not economic size alone.
HEALTH: life expectancy at birth.
EDUCATION: expected years + mean years of schooling.
LIVING STANDARD: GNI per capita in PPP terms.
BOUNDARY: not poverty, inequality, freedom or sustainability by itself.

3 DIMENSIONS / 4 INDICATORS

04 HDI calculation decoder

2025 GOALPOSTS: LE 20-85 | EYS 0-18 | MYS 0-15.
INCOME: GNIpc 100-75,000 in constant 2021 PPP dollars.
LINEAR INDEX: (actual-min)/(max-min).
EDUCATION: arithmetic mean of EYS and MYS indices.
INCOME: natural logs reflect diminishing capability gains.
FINAL: geometric mean limits compensation across dimensions.

HDI = (HEALTH x EDUCATION x INCOME)^(1/3)

05 Interpretation firewall

VALUE: composite achievement on the stated method.
RANK: relative order among countries in that release.
VINTAGE: report year != reference year; component inputs may differ.
MOVEMENT: value can rise while rank falls if peers improve faster.
LIMITS: averages hide distribution; dimensions omit voice, safety and ecology.
GDI/GII: bounded gender complements, not extra HDI dimensions.

RANK != VALUE != DATA YEAR

06 IHDI inequality adjustment

METHOD: Atkinson-type inequality Ax for each HDI dimension.
ADJUSTMENT: I-adjusted = (1-Ax) x I.
AGGREGATION: geometric mean of three adjusted dimensions.
EQUALITY: all Ax=0 -> IHDI=HDI; otherwise IHDI<HDI.
LOSS: 1-IHDI/HDI; not a poverty rate or fourth dimension.
LIMIT: not association-sensitive across the same individuals.

I-ADJUSTED=(1-A); IHDI <= HDI

07 Global MPI architecture

INSTITUTIONS: OPHI + UNDP; Alkire-Foster method.
HEALTH 1/3: nutrition 1/6 + child mortality 1/6.
EDUCATION 1/3: years schooling 1/6 + attendance 1/6.
LIVING 1/3: fuel, sanitation, water, electricity, housing, assets.
Each living-standard indicator weighs 1/18.
TRAP: equal dimensions do not make all ten indicators equal.

3 DIMENSIONS / 10 INDICATORS

08 Dual cutoff and aggregation

CUTOFF 1: indicator-specific deprivation -> weighted score c.
CUTOFF 2: c>=1/3 identifies MPI poor.
CURRENT GLOBAL: vulnerable 1/5 to <1/3; severe c>=1/2.
H = poor population share; A = poor people's average score.
MPI = H x A.
EXAMPLE: H=.60 and A=.4167 -> MPI=.250; H and A can diverge.

WHO IS POOR x HOW POOR

09 India's National MPI

NODAL PUBLISHER: NITI Aayog; DATA: NFHS household microdata.
12 INDICATORS: adds maternal health and bank account themes.
HEALTH: nutrition 1/6; mortality 1/12; maternal health 1/12.
EDUCATION: years schooling and attendance, each 1/6.
LIVING: seven indicators, each 1/21.
USE: national -> State/UT -> district and indicator diagnosis.

NATIONAL / STATE / DISTRICT

10 Dated India evidence

REPORT: NITI Progress Review, released 17 July 2023.
DATA: NFHS-4 (2015-16) compared with NFHS-5 (2019-21).
HEADCOUNT: 24.85% -> 14.96%.
REPORT ESTIMATE: 13.5 crore people exited multidimensional poverty.
CAUTION: these are survey-period comparisons, not 2023 observations.
LIMIT: periodic survey and repeated cross-section create lag.

RELEASE YEAR != SURVEY PERIOD

11 Comparison and limits

INCOME POVERTY: monetary command below a stated line.
MPI: direct, overlapping household deprivation.
HDI: average achievement | IHDI: inequality-adjusted achievement.
GLOBAL MPI 10 != INDIA NATIONAL MPI 12 indicators.
LIMITS: weights, cutoffs, threshold sensitivity, data lag.
HOUSEHOLD UNIT: useful for targeting, blind to some within-household gaps.

COMPLEMENTARY DASHBOARD

12 Answer and policy spine

1 DEFINE the precise question and measure.
2 DECODE the precision, unit, formula and dimensions.
3 DATE report year, data year and estimate status.
4 ANALYSE productivity -> jobs/services -> distribution -> environment.
5 QUALIFY averages, household unit, lag, sensitivity and causation.
6 PRESCRIBE productive inclusion, quality capabilities and resilience.

GROWTH -> FREEDOM, FAIRLY AND DURABLY